Supreme Court, U.S.
FILED
MAR 25 2003
CLERK

No. 02-722

In The Supreme Court of the United States

AMERICAN INSURANCE ASSOCIATION, AMERICAN RE-INSURANCE COMPANY, *et al.*,

Petitioners,

v.

JOHN GARAMENDI, in his capacity as Commissioner of Insurance for the State of California,

Respondent.

On Writ Of Certiorari To The United States Court Of Appeals For The Ninth Circuit

BRIEF FOR RESPONDENT

FRANK KAPLAN
Counsel of Record
JESSE J. CONTRERAS
RYAN S. HEDGES
ALSCHULER GROSSMAN STEIN & KAHAN LLP
1620 26th Street
Fourth Floor, North Tower
Santa Monica, CA 90404
(310) 907-1000

LARRY G. SIMON
Professor of Law
UNIVERSITY OF SOUTHERN CALIFORNIA LAW SCHOOL
Los Angeles, CA 90089-0071
(213) 740-2542

ANDREW W. STROUD
MENNEMEIER, GLASSMAN & STROUD LLP
980 9th Street, Suite 1700
Sacramento, CA 95814-2736
(916) 553-4000

MICHAEL D. RAMSEY
Professor of Law
UNIVERSITY OF SAN DIEGO LAW SCHOOL
5998 Alcala Park
San Diego, CA 92110-2492
(619) 260-4600

LESLIE TICK
CALIFORNIA DEPARTMENT OF INSURANCE
45 Fremont Street, 23rd Floor
San Francisco, CA 94105
(415) 538-4190

Counsel for Respondent John Garamendi, in his capacity as Commissioner of Insurance for the State of California

BEST AVAILABLE COPY

TABLE OF CONTENTS

	Page
STATEMENT	1
A. The HVIRA And The State Interests It Serves	4
1. The Plight Of Holocaust Survivors	4
2. The California Legislature's Response To Decades Of Insurer Stonewalling And Bad Faith	6
3. Petitioners Mischaracterize The HVIRA	7
B. The Federal Government's Limited Involvement In Resolution Of Private Holocaust-Era Insurance Claims	8
1. ICHEIC	9
2. The German Foundation Agreement	11
C. Congress Has Not Disapproved Statutes Like The HVIRA. To The Contrary, Congress Has At Least Implicitly Approved The HVIRA	12
SUMMARY OF ARGUMENT	14
ARGUMENT	15
I. THE HVIRA DOES NOT INVADE AN AREA OF EXCLUSIVE FEDERAL POWER OVER FOREIGN RELATIONS	15
A. The HVIRA Does Not Violate The Constitution's Allocation Of Powers Between The States And The Federal Government	17
B. The HVIRA Does Not Invade The "Dormant" Foreign Relations Power	21

TABLE OF CONTENTS – Continued

Page

1. The HVIRA Is Not Unconstitutional Under *Zschernig* Because The HVIRA Does Not Criticize, Or Foster Criticism Of, Foreign Governments 21
2. Expanding The Dormant Foreign Relations Power To Encompass State Commercial Regulations Is Unsupported By Theory Or Precedent And Unworkable In Practice 23
3. *Barclays*, Not *Zschernig*, Controls This Case Because The Federal Power Relevant To State Commercial Regulation Is The Commerce Power, Not The Foreign Relations Power 24
4. Congress Has Approved State Activity Like The HVIRA 26
5. Federal Government Authority To Resolve "War Claims" Does Not Provide A Basis For Preempting State Commercial Regulations Like The HVIRA 27

C. The HVIRA Is Not Preempted By Any Activity Of The Executive Branch 28

1. The Executive Agreements Are Not Preemptive 29
2. Executive Branch Diplomacy Does Not Preempt State Regulation Authorized By Congress 30

TABLE OF CONTENTS – Continued

Page

II. THE HVIRA DOES NOT VIOLATE THE DORMANT COMMERCE CLAUSE 31

A. Both The Plain Language Of McCarran-Ferguson And Fifty Years Of Precedent Establish That State Insurance Regulations Are Exempt From *All* Commerce Clause Restrictions 32

B. The Court Of Appeals' Decision Is Consistent With This Court's Decision In *Travelers* 33

C. The HVIRA Is Constitutional Even If It Is Subject To Commerce Clause Restrictions 36

1. The HVIRA Does Not Regulate Extraterritorially 36
2. The Court Of Appeals' Decision Is Consistent With This Court's Decisions Construing The Foreign Commerce Clause 37

III. THE HVIRA IS WITHIN CALIFORNIA'S LEGISLATIVE JURISDICTION 38

A. The Court Of Appeals Correctly Held That California Has Legislative Jurisdiction To Require Licensees To Disclose Information Relevant To State Interests 38

TABLE OF CONTENTS – Continued

Page

B. Petitioners Mischaracterize The HVIRA's Purposes. But In Any Event, California's Legislative Jurisdiction Under Either Rational Basis Or Minimum Contacts Analysis Turns On Whether California Has Legislative Interests That Justify The Statute 40

1. The HVIRA Was Adopted For Both Victim And Consumer Protection Purposes..... 42

2. Minimum Contacts Analysis Depends On Justifying Interests, Not Motivating Purposes..... 44

C. Making The Minimum Contacts Test Dependent On Purposes Rather Than Interests Would Be Inconsistent With The Principles That Underlie Substantive Due Process Jurisprudence And With The Concept Of Fundamental Fairness That Underlies The Minimum Contacts Test 45

1. The Reasons That Inquiries Into Actual Purpose Are Excluded From Substantive Due Process Law Are Equally Applicable In The Legislative Jurisdiction Context..... 46

2. Purpose Analysis Is Inconsistent With The Concept Of Fundamental Fairness That Underlies The Minimum Contacts Test..... 47

TABLE OF CONTENTS – Continued

Page

D. Petitioners' Business Presence And The Residence Of Thousands Of Holocaust Victims In The State Are Sufficient To Satisfy The Minimum Contacts Test 48

CONCLUSION 50

TABLE OF AUTHORITIES

Page

FEDERAL CASES

Alaska Packers Ass'n v. Indus. Accident Comm'n, 294 U.S. 532 (1935) 49

Alleghany Corp. v. McCartney, 896 F.2d 1138 (8th Cir. 1990) 2

Allstate Ins. Co. v. Hague, 449 U.S. 302 (1981) ... 41, 44, 48, 49

ASARCO, Inc. v. Idaho State Tax Comm'n, 458 U.S. 307 (1982) 45

Barclays Bank PLC v. Franchise Tax Bd., 512 U.S. 298 (1994) ..... *passim*

Brown-Forman Distillers Corp. v. N.Y. State Liquor Auth., 476 U.S. 573 (1986) 36, 37

Cal. Auto. Ass'n v. Maloney, 341 U.S. 105 (1951) 1

Chy Lung v. Freeman, 92 U.S. 275 (1876) 19

Clark v. Allen, 331 U.S. 503 (1947) 21

Container Corp. of Am. v. Franchise Tax Bd., 463 U.S. 159 (1983) 20, 23

Crosby v. Nat'l Foreign Trade Council, 530 U.S. 363 (2000) 19

Dames & Moore v. Regan, 453 U.S. 654 (1981) 28, 30

Daniel v. Family Sec. Life Ins. Co., 336 U.S. 220 (1949) 43, 45

Deutsch v. Turner Corp., reprinted as amended at 2003 U.S. App. LEXIS 3937 (9th Cir. Cal. Jan. 21, 2003) 27

Edgar v. MITE Corp., 457 U.S. 624 (1982) 36, 37

Elec. Bond & Share Co. v. SEC, 303 U.S. 419 (1938) 42

TABLE OF AUTHORITIES – Continued

Page

FCC v. Beach Communications, Inc., 508 U.S. 307 (1993) 42, 45

FTC v. Travelers Health Ass'n, 362 U.S. 293 (1960) .... *passim*

Gerling Global Reinsurance Corp. v. Gallagher, 267 F.3d 1228 (11th Cir. 2001) 47

German Alliance Ins. Co. v. Lewis, 233 U.S. 389 (1914) 1

Group Life & Health Ins. Co. v. Royal Drug Co., 440 U.S. 205 (1979) 32, 33, 35

Hall v. Geiger-Jones Co., 242 U.S. 539 (1917) 36, 37

Healy v. Beer Institute, 491 U.S. 324 (1989) 36, 37

Hines v. Davidowitz, 312 U.S. 52 (1941) 22

Hoopeston Canning Co. v. Cullen, 318 U.S. 313 (1943) 44

In re Assicurazioni Generali S.p.A. Holocaust Insurance Litigation, 228 F. Supp. 2d 348 (S.D.N.Y. 2002) 10

Itel Containers Int'l Corp. v. Huddleston, 507 U.S. 60 (1993) 31

Metro. Life Ins. Co. v. Ward, 470 U.S. 869 (1985) 33, 45

N.Y. Life Ins. Co. v. Bennion, 158 F.2d 260 (10th Cir. 1946) 28

Nat'l Foreign Trade Council v. Natsios, 181 F.3d 38 (1st Cir. 1999) 21

New York v. United States, 505 U.S. 144 (1992) 29, 33

Oldfield v. Marriott, 51 U.S. 146 (1850) 19

TABLE OF AUTHORITIES – Continued

Page

Phillips Petroleum Co. v. Shutts, 472 U.S. 797 (1985) 41, 44, 47, 48, 49

Prudential Ins. Co. v. Benjamin, 328 U.S. 408 (1946) 26, 32, 34

Societe Nationale Industrielle Aerospatiale v. District Court, 482 U.S. 522 (1987) 22

State Bd. of Ins. v. Todd Shipyards Corp., 370 U.S. 451 (1962) 33

Trojan Techs. v. Pennsylvania, 916 F.2d 903 (3rd Cir. 1990) 20, 21, 29

United States v. Belmont, 301 U.S. 324 (1937) 17, 19, 30

United States v. Carolene Products Co., 304 U.S. 144 (1938) 46

United States v. O'Brien, 391 U.S. 367 (1968) 46

United States v. Pink, 315 U.S. 203 (1942) 30

United States v. South-Eastern Underwriters Ass'n, 322 U.S. 533 (1944) 32

Wardair Can. Inc. v. Fla. Dept. of Revenue, 477 U.S. 1 (1986) 20, 25, 29

Watson v. Employers Liab. Assurance Corp., 348 U.S. 66 (1954) 49

Western & So. Life Ins. Co. v. State Bd. of Equalization, 451 U.S. 648 (1981) 32, 41

Wisconsin v. J.C. Penney Co., 311 U.S. 435 (1990) 44, 45

Zschernig v. Miller, 389 U.S. 429 (1968) ..... *passim*

TABLE OF AUTHORITIES – Continued

Page

STATE CASES

Calfarm Ins. Co. v. Deukmejian, 771 P.2d 1247 (Cal. 1989) 48

Egan v. Mutual of Omaha Ins. Co., 620 P.2d 141 (Cal. 1979) 40

Kaplan v. Assicurazioni Generali, 34 N.Y.S. 2d 115 (1942) 49

CONSTITUTIONAL PROVISIONS AND STATUTES

United States Constitution, Article I, Section 8 ..... 16, 31

United States Constitution, Article I, Section 10 ..... 16, 18

United States Constitution, Article II, Section 3 30

United States Constitution, Article VI 16

15 U.S.C. §§ 1011-1015 ..... *passim*

15 U.S.C. § 1011 ..... 16, 32, 34, 35

15 U.S.C. § 1012(a) 16, 32, 34

15 U.S.C. § 1012(b) 33, 34, 35

50 U.S.C. app. §§ 2001 *et seq.* 28

U.S. Holocaust Commission Act of 1998, Public Law 105-186, 112 Stat. 611 ..... 13, 14, 26

California Code of Civil Procedure § 354.5 ..... 7, 8, 42

California Insurance Code § 700(c) 48

California Insurance Code § 717 43

California Insurance Code § 790.15 ..... 8, 42

California Insurance Code § 1215.2(d)(5) 3, 43

TABLE OF AUTHORITIES – Continued

Page

California Insurance Code § 1215.4(g) 3, 43

California Insurance Code § 1215.6 .....3, 43

California Insurance Code §§ 13800-13807.....*passim*

California Insurance Code § 13801(a)-(f) 6

California Insurance Code § 13801(c) 4, 42, 43

California Insurance Code § 13801(d)..... 4

California Insurance Code § 13801(e) 42

California Insurance Code § 13801(f).....42, 43

OTHER AUTHORITIES

62 U.S.L.W. 3042 (1993) 24

Brief for Petitioner, *Barclays Bank PLC v. Franchise Tax Bd.*, 512 U.S. 298 (1994) (No. 92-1384).....24

Federalist No. 42.....18

Hearings Before Subcommittee Of The Committee On Interstate And Foreign Commerce On Bills To Amend The War Claims Act And The Trading With The Enemy Act, 86th Cong. (1959).....28

Jack L. Goldsmith, *Federal Courts, Foreign Affairs, and Federalism*, 83 Va. L. Rev. 1617 (1997).....18, 19, 23

Michael D. Ramsey, *The Power of the States in Foreign Affairs: The Original Understanding of Foreign Policy Federalism*, 75 Notre Dame L. Rev. 341 (1999).....18

TABLE OF AUTHORITIES – Continued

Page

The Restitution Of Art Objects Seized By The Nazis From Holocaust Victims And Insurance Claims Of Certain Holocaust Victims And Their Heirs Before the House Comm. On Banking & Fin. Servs., 105th Cong. (1998) 5, 7, 9, 13

Restitution Of Holocaust Assets Before The House Comm. On Banking & Fin. Servs., 106th Cong. (2000).....*passim*

The Status Of Insurance Restitution For Holocaust Victims And Their Heirs Before The House Comm. On Gov't Reform, 107th Cong. (2001).....5, 10, 13

Supplementary Report Of The War Claims Commission On War Claims Arising Out Of World War II, H.R. Doc. No. 83-67 (1953).....28

STATEMENT

California has strong interests in caring for its residents and in protecting them from actual or potential abusive practices by companies licensed to do business in the state. These interests are particularly compelling where the regulated companies are insurers, engaged in a quasi-public business and clothed with a public trust. *Cal. Auto. Ass'n v. Maloney*, 341 U.S. 105, 109-110 (1951); *German Alliance Ins. Co. v. Lewis*, 233 U.S. 389, 414-415 (1914). Members of the public have a right to expect their government to assure that insurers deal truthfully and disclose basic insurance policy information to them.

The HVIRA (California Insurance Code §§ 13800-13807) is not a foreign policy initiative. The statute makes no political statement, expresses no criticism or hostility toward any foreign government, and indeed is not aimed at foreign governments at all. It is an insurance regulation that seeks disclosure of withheld insurance policy information from private companies doing business in California. That information will benefit California residents who have been repeatedly and systematically denied access to it for decades.

In addition to benefiting victims of insurer stonewalling, the HVIRA furthers a number of legitimate consumer protection interests. It protects California against insurance companies that are engaging in, or might be influenced by companies that are engaging in, the widespread practice of wrongfully withholding insurance information from insureds and beneficiaries. It accomplishes this by requiring all California licensees to disclose such information if they or their affiliates possess it, or have their licenses suspended. This satisfies the legislative goal of ensuring that no insurance company or family of companies persisting in these practices will have access to the California market, and serves notice to all insurance companies that the state will take swift and strong measures to protect the interests of insureds – all of which results in a more secure marketplace for California insurance consumers. In addition, the information sought – information establishing the existence of policies – will

provide the state with at least a first step in evaluating whether families of insurers have engaged in a pattern and practice of falsely denying the existence or record of those policies to inquiring policyholders and beneficiaries.

In today's global society, with substantial business being conducted in the United States by multinational corporations, state laws often have international effects. State regulators routinely request information from licensees about foreign affiliates and foreign transactions. In the present case, petitioner Generali is a multinational that itself does business in California and abroad. All of the other insurance company petitioners are members of international insurance holding company systems – multinational conglomerates whose members are linked together through various control relationships. Jnt. App. 40.[1] These relationships provide substantial benefits to the system's members, as the record in this case amply reflects. See 1-ER 697-699, 703-710, 722-747, 879-900, 903, 1026-1069. As *amicus* Chamber of Commerce has pointed out in its brief (p. 17), "[c]ompanies depend on complex, far-flung networks of corporate affiliations to remain competitive in the global marketplace."

Those relationships also carry obligations. Under the laws of California and virtually every other state,[2] membership in such holding company systems obligates licensees to provide information about the conduct of other

[1] "Jnt. App." refers to the Joint Appendix filed with petitioners' brief in this Court. "Resp. App." and "App." refer, respectively, to the appendices attached to the Commissioner's brief and the AIA petitioners' brief in connection with the certiorari petitions filed in this Court. "1-ER" refers to the Excerpt of Record in the Court of Appeals on the appeal from the preliminary injunction in this action (Nos. 00-16163, etc.). "2-ER" refers to the Excerpt of Record in the Court of Appeals on the appeal from the summary judgment in this action (Nos. 01-17023, etc.).

[2] See *Alleghany Corp. v. McCartney*, 896 F.2d 1138, 1140 (8th Cir. 1990).

members of that system. See, e.g., Cal. Ins. Code §§ 1215.2(d)(5), 1215.4(g) and 1215.6. Such membership requires cooperation by foreign affiliates in reporting on foreign transactions. See, e.g., Cal. Ins. Code § 1215.4(g).

Under this Court's precedents, a state's commercial regulations are not unconstitutional because they have adverse consequences for foreign companies, are strongly protested by foreign governments, and are expressly disapproved by the Executive Branch, so long as they are not disapproved by Congress. *Barclays Bank PLC v. Franchise Tax Bd.*, 512 U.S. 298, 320-331 (1994). Nor may the Executive Branch, through an expressly *non-preemptive* executive agreement or by endorsing a private, voluntary claims organization, unilaterally supersede such state regulations. If the Executive perceives that the HVIRA interferes with the Nation's ability to speak with one voice, it may seek a remedy from Congress.

Under petitioners' expansive (and standardless) reading of the foreign affairs power, however, generally accepted reporting statutes would be vulnerable to attack on the ground that they reflect state "foreign policy" or interfere with Executive Branch foreign relations. Petitioners' theory would invalidate many state regulatory regimes whose constitutionality has never before been doubted, eviscerate this Court's Foreign Commerce Clause jurisprudence, and call upon courts to determine the "foreign affairs" implications of state regulations on a case-by-case basis. State regulatory authority, if subordinated to the views and preferences of the Executive Branch and foreign governments, will become uncertain.

Similarly, if petitioners' due process and Commerce Clause arguments are successful, then out-of-state conduct in which the states have legitimate regulatory interests could become immunized from regulatory scrutiny. A regulated company could assert that it is not required to disclose fraudulent conduct committed by its parent company in Europe because the "subject matter" of that conduct was European transactions involving only Europeans.

Regulatory disclosure could be thwarted by locating critical documents in the hands of off-shore affiliates. Petitioners' arguments, if accepted, would threaten the entire system of holding company regulation.

Finally, petitioners' assertion that the "actual purpose" of an economic regulation controls legislative jurisdiction is both unprecedented and unwise. If accepted, such a rule would undermine decades of economic due process law and create doubts about existing and future statutes that serve state regulatory interests but lack whatever magic terms or legislative history are deemed necessary to evidence the "correct" purpose.

A. The HVIRA And The State Interests It Serves.

1. The Plight Of Holocaust Survivors.

Thousands of Holocaust survivors live in California. Jnt. App. 29-30; Resp. App. 24; Cal. Ins. Code § 13801(d). These survivors are elderly and many live in poverty. Jnt. App. 29-30. Although life and other insurance was common in Europe in the 1920s and 1930s (Jnt. App. 30), very few Holocaust survivors have proof of insurance or even know which company issued insurance to their family when they were children. Jnt. App. 25, 31, 33, 34; Resp. App. 23-25, 31; 1-ER 400-489; 2-ER 570-580. In most cases, insurance company records are the only existing proof of the policies. Cal. Ins. Code § 13801(c).

Yet, many insurers have refused to make that information available, while at the same time denying numerous claims because the claimants cannot provide proof of insurance. Jnt. App. 33-37; Resp. App. 23-24. Substantial evidence exists that insurance companies have repeatedly deceived Holocaust survivors, lied to survivors about the existence of policies or policy records, and demanded that survivors produce documents that the companies knew survivors did not have, such as the actual policies,

cancelled checks, and death certificates.[3] The head of the International Commission On Holocaust Era Insurance Claims ("ICHEIC"), former Secretary of State Lawrence Eagleburger, has publicly accused one of the ICHEIC members, Allianz, of failing to pay *any* of thousands of claims submitted to ICHEIC. Jnt. App. 69. In response, Allianz pointed out that 92% of the claims did not name any insurance company, because survivors did not recall the companies that sold the policies. *Id.* Allianz has thus far agreed to publish only a handful of policyholder names through ICHEIC, and is expected to publish only a limited number of additional names in the future. Resp. App. 26, 27.

One of the petitioners, Generali, was sued in 1997 for failing to disclose policy information to the family of a Holocaust victim. 1-ER 751-781. Generali is an Italian company licensed to transact insurance business in California since 1935 and subject to jurisdiction in California. 1-ER 873. Generali repeatedly denied that it ever issued a policy to the family and claimed that all its files on its Eastern European policies were lost. 1-ER 751-781; *1998 Hearing* at 114. In fact, Generali has copies of its Eastern European policies, including the family's, stored in its warehouse in Trieste, Italy (1-ER 767; 2458; *1998 Hearing* at 114) and has computerized information on approximately 340,000 policies issued between 1920 and 1945. Jnt. App. 38. Yet, Generali has refused to make most of that information available, publishing only the barest of policyholder lists through ICHEIC. Jnt. App. 38.

---

[3] See, e.g., *The Restitution Of Art Objects Seized By The Nazis From Holocaust Victims And Insurance Claims Of Certain Holocaust Victims And Their Heirs Before The House Comm. On Banking & Fin. Servs.*, 105th Cong. 82-124, 131, 137-141, 158 (1998) (the "*1998 Hearing*"); *The Status Of Insurance Restitution For Holocaust Victims And Their Heirs Before The House Comm. On Gov't Reform*, 107th Cong. 44-51, 64, 69, 134 (2001) (the "*2001 Hearing*").

2. The California Legislature's Response To Decades Of Insurer Stonewalling And Bad Faith.

In 1999, the California legislature unanimously passed the HVIRA, a reporting statute that responds to the persistent refusal of insurance companies to disclose essential policy information. Disclosure of this information will assist survivors in deciding whether and against whom they may have an insurance claim. Survivors may then decide whether they wish to pursue a claim, and if so, in what manner (*e.g.*, informally with the insurer, or through the ICHEIC, or through litigation).

The HVIRA imposes the obligation to obtain this policy information on insurers doing business in California if the insurer or a related company sold insurance policies in Europe from 1920 through 1945 and if the information is in the possession, custody or control of the licensee or any of its related companies. App. 22a, n.11. The legislature expressly recognized the persistent and present refusal by insurance companies to disclose necessary information, and it determined that insurers doing business in California should take responsibility to obtain that information to prevent further concealment from survivors and their families. Cal. Ins. Code § 13801(a)-(f); App. 25a.

As the Court of Appeals concluded, the HVIRA reflects a number of state regulatory interests. App. at 16a, 22a, 23a, 25a. The Court of Appeals also found that the HVIRA is rationally related to these legitimate government interests. App. at 22a-27a.[4]

[4] The HVIRA is broadly drafted for a number of legitimate reasons. See Jnt. App. 25-27, 37; Resp. App. 25-26, 27-28; 2-ER 574, 575, 588-598. Moreover, as the Court of Appeals found, the statute's preclusion of foreign law defenses does not violate due process. App. 22a-27a.

3. Petitioners Mischaracterize The HVIRA.

Petitioners repeatedly mischaracterize the HVIRA, claiming that its goal is to affect foreign policy; that its purpose is to interfere with international means for resolving Holocaust claims; that it "regulates" foreign insurance transactions and foreign insurers; that it "fosters" and "encourages" litigation in California courts; and that it forces payment of claims. See, e.g., AIA Brief at 11, 26. As the Court of Appeals has twice ruled, however, such contentions "mischaracterize HVIRA as a matter of law." App. at 9a, 43a. The HVIRA does not regulate either foreign transactions or foreign companies. App. at 9a, 15a, 16a, 43a-45a.

It does not demand, require or force the payment of any claims, and it makes no judgment as to whether policies have been properly paid. Nor does it encourage private litigation in California or elsewhere. Quite the contrary, the statute seeks only the disclosure of insurance policy information, which Members of Congress and others have recognized is essential to *any* resolution of Holocaust-era insurance claims, including resolution through ICHEIC. See, e.g., 2-ER 1955; *1998 Hearing* at 100-102, 105-107 (Statements of Congressmen Foley and Engel) (describing the necessity of *compelling* public disclosure of policy information by insurance companies through legislation).

Petitioners and *amici* also improperly resort to extensive citation and discussion of other California statutes that are *not* part of this litigation and that are *not* before this Court, all in an effort to blur the limited focus of the HVIRA. California Code of Civil Procedure Section 354.5 is the primary object of petitioners' attention. That statute provides a California venue for claims made against insurers doing business in the state or whose contacts would already subject them to jurisdiction there, and it

extends the statute of limitations on those claims to 2010.[5] Petitioners also refer to California Insurance Code Section 790.15, which authorizes the Commissioner to suspend an insurer's certificate of authority if it or its affiliate has failed to pay a valid Holocaust-era insurance claim.

Both the District Court and the Court of Appeals rejected identical attempts by petitioners to conflate the HVIRA with these other statutes. App. at 6a, 7a, 10a, 16a, 17a, 38a, 43a, 86a, 87a. The District Court dismissed all challenges to these other provisions for lack of standing. Petitioners never appealed that ruling, and both the District Court and Court of Appeals expressly declined petitioners' invitation to link those statutes with the HVIRA. *Id.* Indeed, petitioner Generali itself has argued in unrelated litigation that the HVIRA is separate from Code of Civil Procedure Section 354.5. Resp. App. 71.

B. The Federal Government's Limited Involvement In Resolution Of Private Holocaust-Era Insurance Claims.

The United States government has no history of actively addressing Holocaust-era claims against *private insurance companies*. The United States was a participant in a 1952 treaty that led to internal German legislation restricted to limited compensation of German nationals by the German government for a variety of injuries. App. 97a; 1-ER 553-562. Neither that legislation nor any other post-war German treaty obligated German insurers to provide any policy information or compensation, or prohibited the assertion of contractual claims directly against insurance companies. *Id.*

The Executive Branch, Members of Congress and the Chairman of ICHEIC have all recognized that resolving private insurance claims is a matter for the states, not the

[5] The statute does *not* confer personal jurisdiction over foreign affiliates, does *not* create any new right of action, and does *not* impose liability on the local licensee under policies issued by a foreign affiliate.

federal government. Thus, at a Congressional hearing relating to Holocaust-era claims, Deputy Secretary Eizenstat agreed that "[i]nsurance is regulated by the states, and we have very little influence." *Restitution Of Holocaust Assets Before The House Comm. On Banking & Fin. Servs.*, 106th Cong. 64 (2000) (the "*2000 Hearing*"). Congressman Leach also acknowledged "the decision of the United States Congress, in effect, either to devolve or not to assume responsibility for basic insurance regulation, which gives the states a significant role." *1998 Hearing* at 157; App. 50a. See also *2000 Hearing* at 151, 159 (testimony of Lawrence Eagleburger acknowledging that insurance is fundamentally a matter of state regulation, and state regulators have substantial authority to obtain insurance company cooperation).

Petitioners nevertheless claim that "since the post-war period in Europe, the United States has remained 'actively involved in Holocaust victims compensation efforts.'" AIA Brief at 3. Petitioners describe at some length what they consider to be the two primary efforts: (1) ICHEIC, and (2) the German Foundation agreement. AIA Brief at 3-8.

1. ICHEIC

Founded in 1998 by insurance regulators from California and other states, ICHEIC is a voluntary, private organization consisting of five insurance companies, state insurance regulators, Jewish and survivor organizations, and the State of Israel. Jnt. App. 32. Representatives from various countries, including the United States, have observer status only. *Id.*[6] ICHEIC's purpose is to pursue the goal of resolving certain insurance claims of Holocaust victims. *Id.* An insurance company's participation in ICHEIC does not afford "legal peace" as to claims against that company. Jnt. App. 33.

[6] Petitioners incorrectly state that ICHEIC was the product of a federal government agreement. AIA Brief at 2. It was not.

Many companies that wrote Holocaust-era insurance are not members of ICHEIC, with the five insurance company members of ICHEIC representing only approximately 35.5% of the pre-World War II European insurance market. Jnt. App. 32. While a number of the petitioners or their affiliates are ICHEIC members, several are not. Jnt. App. 32, 43.

Claims against ICHEIC member companies may be made through ICHEIC. ICHEIC's standards of proof generally require documentation to support the existence of a policy and are quite stringent, particularly as applied to claimants who are unlikely to have such documentation. Jnt. App. 34-37. And, in practice, the insurance companies participating in ICHEIC have rejected most claims and have declined to make offers on any claim that is lacking in documentary proof. See *In re Assicurazioni Generali S.p.A. Holocaust Insurance Litigation*, 228 F. Supp. 2d 348, 357 (S.D.N.Y. 2002) (noting that ICHEIC had made only 797 offers for payment in response to over 77,000 claims); Resp. App. 32; Jnt. App. 35-37.

ICHEIC has requested that its five member insurance companies publish lists of unpaid policies issued to Holocaust victims. Jnt. App. 37. That request, however, like every other aspect of ICHEIC, is based on voluntary compliance, and the publication of lists has been inadequate and incomplete. Jnt. App. 37; Resp. App. 26-27, 32; 1-ER 529, 542-543. Testimony from a recent Congressional hearing reveals that less than 10,000 policyholder names had been published by the companies that are members of ICHEIC, most coming from just one company. Resp. App. 27, 32. A federal court has recently described ICHEIC as "manifestly inadequate because it lacks sufficient independence and permanence," characterizing it as "the company store." *In re Assicurazioni Generali S.p.A. Holocaust Insurance Litigation,* 228 F. Supp. 2d at 357. ICHEIC's meetings are not public, and records of ICHEIC meetings are not available to the public. *2001 Hearing* at 59-60.

2. The German Foundation Agreement

In early 1999, German companies that were subject to claims by slave laborers, forced laborers, insurance claimants and others began negotiating with the plaintiffs' attorneys and various countries whose citizens were subjected to slave and forced labor. App. 51a, 129a. Those negotiations led to an agreement by the German government and companies to fund a Foundation to pay claims against German companies arising from the Nazi era. App. 51a, 129a. The vast bulk of the funds are for payment of slave and forced labor claims. App. 129a.

Significantly, with respect to insurance, the German Foundation settlement applies *only* to insurance policies written by *German* companies. Resp. App. 47-48, 51-52 n.7; 1-ER 550-551. Most of the petitioners wrote or have European affiliates that wrote insurance in many European countries other than Germany, and those companies are not part of the German Foundation settlement. See, e.g., Jnt. App. 37; 1-ER 551, 1709, 1719-1720. In addition, the Foundation settlement does not require German insurance companies to join ICHEIC. App. 153a-168a.

In July 2000, Germany and the United States entered into an Executive Agreement regarding the Foundation settlement. App. at 51a, 129a, 153a-168a. That agreement is not a treaty, is not even a "government-to-government claims settlement agreement," and expressly provides that it does not preempt state laws like the HVIRA. Resp. App. at 45-46, 48-49; *2000 Hearing* at 49 (Eizenstat Statement). Instead, the agreement states that German companies desire "legal peace," and that in any case filed in a court in this country against a German company arising from the Holocaust-era, the United States will "inform its courts . . . that it would be in the foreign policy interests of the United States for the Foundation to be the exclusive remedy and forum for resolving such claims." App. at 153a, 156a. With respect to state and local regulatory actions, the agreement provides only that the United

States will use its "best efforts, in a manner it considers appropriate," to achieve legal peace. App. at 156a.

The U.S. government has not undertaken a duty or made any promise to achieve legal peace for German companies against state litigation or regulatory action. Resp. App. 47-48, 51-52 n.7. To the contrary, the agreement recognizes that the United States' policy interests concerning the Foundation do not "in themselves provide an independent legal basis for dismissal" of lawsuits against German companies (Resp. App. at 45-46), and the United States has also acknowledged that the agreement does not have preemptive effect. Resp. App. at 48-49; App. 167a. The United States has similiarly explained that the agreement's contemplation of "legal peace" relates to "claims *against* German companies that arise out of the Nazi era," that the HVIRA does not contravene specific provisions of the Executive Agreement, and that this case (which does not involve claims against *any* insurance company) "is not one that implicates the German obligation to make payments from the Foundation." Resp. App. at 51-52 n.7 (emphasis in original).

Nor has the HVIRA precluded consummation or implementation of the Executive Agreement. Resp. App. at 51 n.7. On May 30, 2001, after the Court of Appeals' first decision in this case, the German Bundestag determined that adequate "legal peace" existed, and authorized the Foundation to make funds available for the payment of claims. Resp. App. at 53-54. On October 16, 2002, after the Court of Appeals' second decision in this case, German insurance companies reached agreement with ICHEIC to coordinate their claims handling and other procedures with that organization. See "Lodging", submitted in support of the Gerling Petition (No. 02-733) at L-70 to L-180.

C. Congress Has Not Disapproved Statutes Like The HVIRA. To The Contrary, Congress Has At Least Implicitly Approved The HVIRA.

Congress is well aware of the HVIRA and the objections to it lodged by foreign governments and the

Executive Branch. App. 49a-50a, 136a-137a, 174a-180a; *2001 Hearing* at 52. For example, Executive Branch representatives have testified before Congress that, in their view, the HVIRA interferes with foreign policy interests. See, e.g., App. 136a-137a (testimony of Deputy Secretary Eizenstat). Congress, however, has not expressed any disapproval of the HVIRA in response to such testimony. Quite the opposite, members of Congress have endorsed state efforts and have praised the HVIRA as having produced positive results. App. 49a-50a; Resp. App. 33; *1998 Hearing* at 88 (Statement of Senator D'Amato); *1998 Hearing* at 185 (Statement of Congressman Leach); *2000 Hearing* at 63 (Statement of Congressman Sherman).

On June 23, 1998, Congress enacted the U.S. Holocaust Commission Act of 1998, Public Law 105-186, 112 Stat. 611 (the "HCA"). Petitioners argue that the HCA "constituted Congress's express command to the President to take the initiative for the United States among the international community." AIA Brief at 30. The HCA is no such thing. If anything, it reflects Congressional acknowledgment that (1) the states play a vital role in the resolution of Holocaust-era insurance claims, and (2) Congress, rather than the Executive, is the federal branch with ultimate authority to address those claims.

The HCA created a Presidential Commission to study Holocaust victims' assets in the United States. Notably, with respect to insurance policies, the HCA directs the Commission to "take note of the work of the National Association of Insurance Commissioners" (the state insurance regulators) and to "encourage the National Association of Insurance Commissioners to prepare a report on the Holocaust-related claims practices of all insurance companies, *both domestic and foreign*, doing business in the United States at any time after January 30, 1933, that issued any ... insurance policy to any individual on any list of Holocaust victims." *Id.* § 3(a)(4)(A) (emphasis added). The information to be included in the report prepared by the state insurance commissioners is in several respects similar to the information sought by the HVIRA. *Id.* § 3(a)(4)(B).

The HCA also directs the Commission to submit a report to the President with any recommendations for legislative, administrative or other actions as it deems necessary or appropriate. *Id.* § 3(d)(1). Petitioners assert that this language "clearly indicates Congress' understanding that the President would proceed where possible through administrative and diplomatic channels." AIA Brief at 30. Petitioners, however, omit the very next portion of the statute, which provides that after receipt of the Commission's report, "the President shall submit *to Congress* any recommendations for legislative, administrative or other action that the President considers necessary or appropriate." *Id.* § 3(d)(2) (emphasis added). Thus, the HCA clearly recognizes that the President does not have the final word on the subject of Holocaust-era insurance claims.[7]

SUMMARY OF ARGUMENT

1. The HVIRA does not invade an area of exclusive federal power over foreign relations. Nothing in the Constitution's text, structure or history supports petitioners' claim that the federal foreign relations power displaces state power over a traditional and vital area of commercial regulation – insurance. The HVIRA is a commercial regulation of private insurance companies that, at a minimum, has been tacitly approved by Congress and is not preempted by any federal statute, treaty or executive agreement. Even though the U.S. Executive Branch and certain foreign governments have objected to it, the HVIRA is constitutional so long as Congress – the Nation's voice in matters of foreign commerce – has not disapproved it. *Barclays Bank PLC v. Franchise Tax Bd.*, 512 U.S. 298 (1994). The authority primarily relied on by petitioners, *Zschernig v.*

[7] Petitioners (AIA Brief at 30) misstate the remarks of Representative Foley, who did not mention the President at all in explaining Congress' intent for the commission to work *with state insurance regulators* to gather information to "begin to get to the bottom of unpaid insurance claims." 144 Cong. Rec. H4271 (daily ed. June 9, 1998).

Miller, 389 U.S. 429 (1968), prohibits states from criticizing or expressing hostility toward foreign governments. The HVIRA does not do this.

2. The HVIRA does not violate the dormant Commerce Clause. The McCarran-Ferguson Act, 15 U.S.C. §§ 1011-1015, exempts state insurance regulations from *all* Commerce Clause restrictions. *FTC v. Travelers Health Ass'n*, 362 U.S. 293 (1960), relied on by petitioners, did not limit the states' immunity from Commerce Clause attack under McCarran-Ferguson, but instead involved only an interpretation of another provision of McCarran-Ferguson that deals with the limited exemption from the Federal Trade Commission Act for the business of insurance. Finally, even in the absence of McCarran-Ferguson, the HVIRA does not violate the Commerce Clause because it is not an extraterritorial law; it seeks only information from California licensees and does not affect the competitive business practices of any company outside California.

3. The HVIRA is within California's legislative jurisdiction under the Due Process Clause. The statute does not regulate foreign companies or the substance of foreign transactions. Instead, it seeks information from California-licensed insurers. A state has jurisdiction to seek information about conduct occurring elsewhere if the state has a legitimate interest in obtaining that information. Those interests, rather than an inquiry into the statute's "actual purpose," determine whether the state's exercise of legislative jurisdiction is fundamentally fair and therefore proper. Here, as the Court of Appeals held, the HVIRA is rationally related to a number of legitimate state interests, and those interests are more than sufficient to satisfy both the rational basis and minimum contacts test.

ARGUMENT

I. THE HVIRA DOES NOT INVADE AN AREA OF EXCLUSIVE FEDERAL POWER OVER FOREIGN RELATIONS

Insurance is a quasi-public industry that, with Congress' express approval, has long been regulated by the

states. See McCarran-Ferguson Act, 15 U.S.C. §§ 1011, 1012(a). The HVIRA, a reporting statute that requires disclosure of information by private insurance companies doing business in California, furthers important state interests and is not directed at any foreign government. Yet, petitioners claim that the HVIRA unconstitutionally encroaches on a matter of foreign relations reserved to the federal government. No authority supports this remarkable claim of federal displacement of state power over a traditional area of commercial regulation.

The Constitution's text proscribes state activities that may affect foreign relations in three principal ways. Article I, Section 10 bars states from certain specific activities. Article VI makes federal treaties and statutes supreme over state law. And certain grants of power to Congress in Article I, Section 8 exclude states from some fields by negative implication – in particular, the dormant Commerce Clause precludes certain state commercial regulations. Petitioners do not rely on any of these textual provisions aside from the dormant Commerce Clause (an argument addressed in Section I.B.3 below).

Beyond the Constitution's express language, this Court has identified only two ways that federal foreign relations power may override state regulations, neither of which is applicable here. A single decision, *Zschernig v. Miller,* 389 U.S. 429 (1968), recognized a "dormant" federal foreign relations power that excludes states from certain foreign relations activity even in the absence of inconsistent federal activity. Though petitioners seek to make much of *Zschernig*, that case involved the distinct circumstance of a state law that, as applied, was a vehicle for criticism and hostility toward foreign governments. The HVIRA does not do this. Indeed, the HVIRA is not addressed to foreign governments at all, and does not reflect any attempt by the state to interact with any foreign government. It is simply a regulation of private business.

This Court has also held that under some circumstances, the President may enter into executive agreements

with foreign nations that supersede state legislation in much the same manner as treaties. See, e.g., *United States v. Belmont,* 301 U.S. 324 (1937). Petitioners discuss certain executive branch initiatives in an attempt to invoke this idea of "executive preemption." But (1) the executive agreements relied upon by petitioners are expressly not preemptive (and in any event do not affect all of the petitioners); (2) Congress has not authorized the President to address Holocaust-era insurance claims to the exclusion of the states; and (3) this Court has rejected the suggestion that executive branch initiatives, unsupported by Congress and not reflected in preemptive executive agreements, can override state commercial regulation. See *Barclays*, 512 U.S. at 328-331.

A. The HVIRA Does Not Violate The Constitution's Allocation Of Powers Between The States And The Federal Government.

Petitioners do not contend that the HVIRA is inconsistent with any provision of the Constitution's text, or is preempted by any federal statute or treaty. Rather, petitioners claim a much broader principle, supposedly derived from the Constitution's history and structure, that state commercial regulations must give way, even in the absence of the ordinary means of preemption, when the Executive Branch says they affect foreign relations. No such principle exists.

First, the Constitution's text, history and structure do not support this principle. Petitioners make much of the fact that state activities under the Articles of Confederation interfered with the Continental Congress' ability to conduct foreign relations, and that the Constitution was drafted in part to remedy that problem. But they draw the wrong lesson from that history.

The Constitution could have adopted a general rule barring all state regulatory activity with international

implications. Instead, its drafters chose specific means to remedy the defects of the Articles, preserving for the states their power to regulate commercial matters.[8] Thus the Constitution (1) excludes the states from specified foreign relations activities in Article I, Section 10; (2) gives Congress broad powers over foreign commerce (which Congress lacked under the Articles); and (3) makes treaties and federal statutes preemptive of state law (which they were not, under the Articles). The very existence of these carefully crafted provisions balancing federal and state power belies the sweeping but unstated principle petitioners suggest.[9]

Second, no such principle can be derived from more than 200 years of constitutional practice. States routinely regulate foreign companies that do business within the state, often to the detriment of those companies and to the annoyance of the governments of the countries where those companies are located. No state commercial regulation has ever been invalidated by this Court on the grounds of "foreign relations preemption," and such

[8] Petitioners rely on various out-of-context quotes from leading Framers to bolster their historical contentions. But, read in context, none of these statements support the broad prohibition petitioners suggest. For example, petitioners claim that a quote from James Madison, in *Federalist No. 42*, shows an intent to oust states from regulatory matters with international implications. But *Federalist No. 42* is a defense of *granting* preemptive powers to Congress in foreign affairs; it says nothing about the states' power in the absence of congressional action. See Michael D. Ramsey, *The Power of the States in Foreign Affairs: The Original Understanding of Foreign Policy Federalism*, 75 Notre Dame L. Rev. 341, 379-390 (1999) (discussing the Framers' views in this regard).

[9] See Jack L. Goldsmith, *Federal Courts, Foreign Affairs, and Federalism*, 83 Va. L. Rev. 1617, 1642 (1997) ("The most natural inference from [Article I, Section 10] and from the Constitution's enumerated powers structure is that all foreign relations matters not excluded by Article I, Section 10 fall within the concurrent power of the state and federal governments until preempted by federal statute or treaty.").

regulations have been frequently upheld. See, e.g., *Barclays*, 512 U.S. 298. See also Goldsmith, 83 Va. L. Rev. at 1655-1664 (describing how states historically have acted in ways "that either looked like the exercise of foreign relations power or that stirred foreign relations controversy" but were not thought to raise constitutional concerns).

Third, this Court's precedents do not support petitioners' principle. Most of the cases petitioners cite involve one of the specific constitutional grounds discussed above. See, e.g., *Crosby v. Nat'l Foreign Trade Council*, 530 U.S. 363 (2000) (statutory preemption); *Chy Lung v. Freeman*, 92 U.S. 275 (1876) (dormant Commerce Clause and congressional power over immigration); *Oldfield v. Marriott*, 51 U.S. 146 (1850) (treaty preemption). Far from supporting petitioners, these cases show that the constitutionality of state laws with international implications is ordinarily determined with reference to specific provisions of the Constitution.

This Court has gone beyond the Constitution's text to imply foreign relations limits on the states in two limited circumstances. But both of these involved foreign relations power issues quite distinct from anything relevant here. *Zschernig v. Miller*, discussed below in Section I.B., invalidated a state regulation of inheritance (not a commercial regulation) that, as applied, expressed hostility and criticism toward foreign governments. *United States v. Belmont* and related cases, discussed below in Section I.C., invalidated state laws that conflicted with expressly preemptive executive agreements (which do not exist in this case).

Petitioners seek to construct from the limited holdings of these cases a general principle that states cannot enact commercial regulations with international effects. However, petitioners cannot explain how their principle can be reconciled with constitutional text and history (which contain no evidence of their principle); how such a principle could be limited or applied (since state commercial regulations will inevitably have *some* international effects, and courts will be repeatedly called upon to determine how

much is too much); nor how such a principle can be reconciled with this Court's dormant Foreign Commerce Clause jurisprudence (which provides a more limited and well-defined approach to assessing the constitutionality of state commercial regulations with international effects).

Congress is the voice of the Nation in foreign commerce. *Barclays*, 512 U.S. at 329-330. The dormant Commerce Clause, not the foreign affairs power, is the appropriate doctrine under which to analyze state commercial regulations that are not preempted by any statute or international agreement and do not involve state hostility toward foreign governments. Under the dormant Commerce Clause, state commercial regulations remain constitutional even though they may have adverse consequences for foreign companies, are strongly protested by foreign governments, and are expressly disapproved by the executive branch, so long as they are not disapproved by Congress. *Id.* at 320-331. See also *Wardair Can. Inc. v. Fla. Dept. of Revenue*, 477 U.S. 1, 9-12 (1986); *Container Corp. of Am. v. Franchise Tax Bd.*, 463 U.S. 159, 194 (1983); *Trojan Techs. v. Pennsylvania*, 916 F.2d 903, 913-914 (3rd Cir. 1990). Reading *Zschernig* or executive foreign relations preemption as broadly as petitioners advocate would invalidate the regulations upheld in these cases, eviscerate this Court's Foreign Commerce Clause jurisprudence, and invade state sovereignty over commercial matters.

Congress, though well aware of the HVIRA and of Executive Branch and foreign unhappiness with it, has not disapproved of that statute. If the HVIRA is an irritant to the Executive Branch and foreign governments, there are well-understood remedies that fit within the structure of the Constitution and do no violence to principles of federalism: the Executive can enter into a treaty with those governments or seek relief from Congress.

B. The HVIRA Does Not Invade The "Dormant" Foreign Relations Power.

1. The HVIRA Is Not Unconstitutional Under *Zschernig* Because The HVIRA Does Not Criticize, Or Foster Criticsm Of, Foreign Governments.

The only case in which this Court invalidated a state statute as interfering with the federal foreign relations power in the absence of a preemptive international agreement, statute or constitutional provision is *Zschernig v. Miller*, 389 U.S. 429 (1968). But as the court below found, App. at 55a-59a, *Zschernig* is limited to the distinct circumstance of a state law that fostered criticism and hostility toward foreign governments.

In *Zschernig*, this Court invalidated an Oregon inheritance law that prevented residents of foreign countries from inheriting through Oregon estates unless their government granted reciprocal rights to Oregon residents. Earlier, this Court had upheld a similar California statute, dismissing a claim based on the foreign affairs effects of the statute as "farfetched." *Clark v. Allen*, 331 U.S. 503, 517 (1947). But in *Zschernig*, this Court became concerned that the Oregon statute and others like it, as applied, had become a vehicle for inflammatory, "cold war" criticism of foreign governments – especially Communist governments – by the states. 389 U.S. at 433-435, 439, 440 & nn.6, 8.

It was not the existence of the reciprocal inheritance statutes that caused the constitutional problem (else *Clark v. Allen* would have been decided differently), but the critical, hostile way they were applied. Later cases confirm this reading, applying *Zschernig* by assessing whether the challenged statute, on its face or as applied, criticizes or shows hostility toward foreign governments. Compare *Nat'l Foreign Trade Council v. Natsios*, 181 F.3d 38, 56 (1st Cir. 1999) (invalidating under *Zschernig* a state law intended to pressure the Burmese military regime into holding democratic elections), with *Trojan Techs.*, 916 F.2d at 913-914 (upholding under *Zschernig* a state commercial

regulation disadvantaging foreign businesses but not targeting any country or group of countries).

As the court below held (App. 55a-59a), the HVIRA does not raise the diplomatic concerns evident in *Zschernig*, because it does not criticize or show hostility toward foreign governments.[10] It is a commercial regulation of private insurers doing business in California.[11]

---

[10] Petitioners claim that the HVIRA somehow insults the sovereignty of foreign nations, especially Germany, either by criticizing Germany's handling of Holocaust-era claims or by conflicting with privacy laws. AIA Brief at 32. The HVIRA obviously takes no position on any action of the German government; it is only directed at private insurers.

Even if foreign privacy laws were a relevant consideration, petitioners have grossly overstated their application here to decades-old historical records. The German data protection law is the only law on which petitioners seriously rely. Most of the petitioners, however, are not German companies. Generali is an Italian company, and it makes no claim that Italian law precludes disclosure. Whether compliance with the HVIRA would violate German law is hotly disputed, with the former head of Germany's Federal Data Protection Commission having concluded that it does not. 2-ER 1708-1768, 1914-1929. The U.S. government sees no reason why 50-year old information should not be made public. *2000 Hearing* at 47 (Eizenstat Statement). Nor is there any evidence in the record that any foreign government has taken or would take steps to prosecute petitioners or their affiliates if they provide the information required by the HVIRA. Finally, no court has held that conflict with foreign law, without more, invalidates local law. See *Societe Nationale Industrielle Aerospatiale v. District Court*, 482 U.S. 522, 544 n.29 (1987).

[11] In *Zschernig*, this Court relied on *Hines v. Davidowitz*, 312 U.S. 52, 63 (1941), for the proposition that the Constitution entrusts "the field of foreign affairs . . . to the President and the Congress." *Zschernig*, 389 U.S. at 432. *Hines*, however, was a statutory preemption case (312 U.S. at 66-67, 74) and does not support a broad reading of *Zschernig*.

Zschernig is not indicative of a sweeping dormant preemption of state regulatory activities with incidental international effects. Even beyond *Zschernig*, such dormant foreign affairs preemption at most implies that the nature of the federal system reserves relations with *foreign governments* to the federal government, even though the Constitution does not explicitly say so. See, e.g., *Hines*, 312 U.S. at 63

(Continued on following page)

2. Expanding The Dormant Foreign Relations Power To Encompass State Commercial Regulations Is Unsupported By Theory Or Precedent And Unworkable In Practice.

States routinely seek information about foreign affiliate companies (including information about foreign transactions) as a condition of doing business in the state. App. 20a, n.10. *Zschernig* did not alter that practice. Indeed, no federal court (except the District Court below) has ever struck down a state commercial regulation under *Zschernig* simply because it had international effects or was protested by foreign governments or the Executive Branch. Petitioners' reading of *Zschernig* would call into question innumerable state activities never before thought constitutionally problematic.

Further, petitioners' reading of *Zschernig* would be unworkable in practice. Read as a limit on hostile acts toward foreign governments, *Zschernig* is relatively easy to apply. Petitioners ask this Court to expand *Zschernig* to establish an amorphous constitutional rule preempting state commercial regulations that potentially cause too much embarrassment to the Executive Branch or may have too many international effects. Under this approach, courts would be repeatedly called on to make "foreign policy" judgments – a task for which courts are not well-suited. See *Container Corp.*, 463 U.S. at 194. Congress, on the other hand, is quite capable of identifying and responding to any adverse effects of state commercial legislation; hence Congress, and not the courts, should be the decisionmaker in this regard. See Goldsmith, 83 Va. L. Rev. at 1664-1689.

("The Federal Government . . . is entrusted with full and exclusive responsibility for the conduct of affairs *with foreign sovereignties*.") (emphasis added).

3. *Barclays*, Not *Zschernig*, Controls This Case Because The Federal Power Relevant To State Commercial Regulation Is The Commerce Power, Not The Foreign Relations Power.

Petitioners' broad view of *Zschernig* conflicts with this Court's subsequent decision in *Barclays*, which shows that state commercial regulations such as the HVIRA are properly analyzed under the dormant Commerce Clause. *Barclays*, a case petitioners barely mention, involved a California state tax law that adversely affected foreign companies by taxing them on their worldwide operations, not just upon operations in California. As with the HVIRA, the law in *Barclays* was protested by foreign companies and governments, and the U.S. Executive Branch expressed its view that the law had adverse effects upon international diplomacy. 512 U.S. at 324-326 & n.22, 328-329 & n.30.

This Court granted certiorari in *Barclays* to consider the California law under the dormant Foreign Commerce Clause and under *Zschernig*.[12] Its opinion upholding the law addressed only the Commerce Clause, but the law could not have been upheld unless this Court thought the *Zschernig* claim failed as well. Presumably, then, in the case of a commercial regulation that does not criticize foreign governments, no analysis is required beyond the Foreign Commerce Clause.

The *Barclays* Court emphasized that the Constitution vests Congress, not the President, with power to regulate

[12] According to the grant of certiorari, this Court agreed to review whether the state law "intrude[s] into an inherently federal area and is [thus] preempted by [the] United States Constitution" as well as whether the state law violated the dormant Commerce Clause. 62 U.S.L.W. 3042 (1993). In briefing the case, Barclays cited *Zschernig* with approval and argued: "Where state legislation or action interferes with the conduct of foreign affairs by the Federal Government, the Constitution itself preempts it." See Brief for Petitioner at 42, *Barclays Bank PLC v. Franchise Tax Bd.*, 512 U.S. 298 (1994) (No. 92-1384).

foreign commerce, and thus it is for "Congress – whose voice, in this area, is the Nation's – to evaluate whether the national interest is best served by [national] uniformity, or state autonomy." 512 U.S. at 331. "Executive Branch communications that express federal policy but lack the force of law cannot render unconstitutional a state's otherwise valid congressionally condoned" statute. *Id.* at 330. Accordingly, so long as a state law is not discriminatory against out-of-state companies and does not otherwise violate the usual Commerce Clause analysis, the question is whether Congress disapproves of the law. *Id.*

In *Barclays*, this Court found that Congress was aware of the California law and of the international and Executive Branch objections to it. The Executive Branch, under pressure from foreign governments, asked Congress to override the California statute, but Congress did not. This Court concluded that where Congress had declined to take preemptive action, it was not for the Court (or the Executive Branch) to say that the state law was invalid, even where it had substantial "foreign affairs" effects. *Id.* at 324-331. In particular, this Court observed that "Congress may more passively indicate that certain state practices do *not* impair federal uniformity in an area where federal uniformity is essential." *Id.* at 323 (emphasis in original). Accordingly, this Court looked for "specific indications of congressional intent to bar the state action here challenged." *Id.* at 324 (internal quotation marks omitted). See also *Wardair*, 477 U.S. at 12-13 (declining to invalidate state tax with substantial international effects in the absence of congressional disapproval).

This case is essentially identical to *Barclays*. Like *Barclays*, it involves a state commercial regulation that may adversely affect foreign private companies, and that has been protested by foreign governments and the Executive Branch. Like *Barclays*, the HVIRA does not criticize any foreign government. Also as in *Barclays*, Congress is well aware of the HVIRA (and the objections to it lodged by foreign governments and the Executive Branch). Yet,

with this knowledge, Congress has not acted to preempt the HVIRA, and has at least implicitly approved it.

Barclays stands squarely against petitioners' broad reading of *Zschernig*. Petitioners cannot explain how the law upheld in *Barclays* could be constitutional under their theory of "foreign relations preemption." In contrast, if *Zschernig* applies only to state criticisms of foreign *governments*, rather than state commercial regulation of private businesses that affect foreign governments at most indirectly, then *Barclays* and *Zschernig* are easily reconciled.

In short, an attempt to turn *Zschernig* into a warrant for courts to police state economic regulations for undue international effects was rejected in *Barclays* and should be rejected here. As in *Barclays* and related cases, claims against state commercial regulations such as the HVIRA should be analyzed under the dormant Foreign Commerce Clause, not under *Zschernig*.

4. Congress Has Approved State Activity Like The HVIRA.

As the court below found, Congress has implicitly approved state legislation in the area of Holocaust-era insurance policies. First, the McCarran-Ferguson Act establishes that regulation of insurance should be a matter for the states (except when Congress itself specifically intervenes). In passing the Act, Congress determined that national uniformity in insurance regulation was not required. *Prudential Ins. Co. v. Benjamin*, 328 U.S. 408 (1946). Further, on the particular issue of Holocaust-era insurance, Congress has been made aware of the HVIRA and of Executive Branch and foreign government opposition to it, and yet has made no attempt to intervene.

Indeed, as the court below found, in passing the HCA, "Congress has spoken affirmatively in the area of Holocaust-era insurance policies and has acquiesced in state laws like HVIRA." App. 47a. In encouraging state insurance regulators to prepare a report on the Holocaust-related claims practices of both foreign and domestic insurance companies, and in fulfilling the HCA's "broad

objectives," "Congress must have expected that the regulators would be acting pursuant to state law" and "might have to require the foreign affiliates of domestic insurance companies to search a foreign office for information on Holocaust-era policies." App. 49a. Thus, the HCA and its legislative history show that "Congress was aware of the states' efforts to obtain information on Holocaust-era insurance policies" and "encouraged laws like HVIRA." App. 49a, 50a. Even if the HVIRA otherwise would be subject to "dormant" foreign relations preemption, Congress has acted to overcome the preemption.

5. Federal Government Authority To Resolve "War Claims" Does Not Provide A Basis For Preempting State Commercial Regulations Like The HVIRA.

Petitioners (AIA Brief at 24-25) and the United States (Brief at 11, 16) suggest that the national government has the exclusive authority to resolve claims arising out of international conflicts, and that this "dormant" power invalidates the HVIRA. Even assuming the federal government has exclusive power to resolve "war claims," the HVIRA is still valid.

First, the HVIRA is a commercial reporting statute that does not *resolve* any claims. It instead addresses the persistent and current refusal of insurance companies to disclose basic policyholder information. See *Deutsch v. Turner Corp., reprinted as amended at* 2003 U.S. App. LEXIS 3937 (9th Cir. Cal. Jan. 21, 2003) (finding the HVIRA does not implicate the federal government's exclusive power to make and resolve war).

Second, claims that Holocaust survivors may have against private insurance companies are not "war claims," in the sense that would suggest any exclusive federal authority arising out of the federal government's power to make and resolve war. Instead, they are purely private contractual claims between insurance policyholders and private insurers. They do not involve any claim against any government or any agent of any government. Cf. *Deutsch*, 2003 U.S. App. LEXIS 3937. Some, but not all, of

the Holocaust insurance claims arose during wartime, but in any event, state law has routinely been applied to private contractual disputes (including insurance disputes) arising during wartime, without any suggestion of an exclusive federal power. See, e.g., *N.Y. Life Ins. Co. v. Bennion*, 158 F.2d 260 (10th Cir. 1946). The HVIRA, which is only a reporting statute that does not purport to resolve claims, is even further from any exclusive federal power over war claims.[13]

Finally, the case petitioners and the United States cite for such authority, *Dames & Moore v. Regan,* involved an *expressly preemptive* executive agreement that, with the acquiescence of Congress, settled claims against a foreign *government*. 453 U.S. 654, 679 (1981). The executive agreements here are expressly *non-preemptive,* and any claims implicated by this case are ones against private insurance companies.

C. The HVIRA Is Not Preempted By Any Activity Of The Executive Branch.

Although petitioners purport to assert a *dormant* foreign affairs preemption over state insurance statutes, in reality their arguments are substantially based on the Executive Branch's activity in the field of Holocaust-era claims, including the executive agreements with Germany

[13] The United States has not considered war claims to include private contractual claims under insurance policies. In 1948, Congress created a Commission to resolve "war claims." 50 U.S.C. app. §§ 2001 *et seq*. The Commission issued a definition of "war claims" that was limited to claims against foreign governments for property damage suffered as a consequence of operations of war, lawless acts accompanying the collapse of civil authority and measures directed against a claimant because of his enemy character. See *Supplementary Report Of The War Claims Comm'n On War Claims Arising Out Of World War II*, H.R. Doc. No. 83-67, at 115 (1953); *Hearings Before Subcomm. Of The Comm. On Interstate And Foreign Commerce On Bills To Amend The War Claims Act And The Trading With The Enemy Act*, 86th Cong. 3 (1959).

and Austria, the Executive Branch's endorsement of ICHEIC, and the "hortatory" (App. 54a-55a) Swiss-U.S. Joint Statement. AIA Brief at 3-8. Those activities are not preemptive of state insurance regulations like the HVIRA.

1. The Executive Agreements Are Not Preemptive.

The executive agreements on which petitioners rely "do not, of their own force, extinguish any claims that Holocaust victims or their families might assert in court against foreign insurance companies." United States Brief at 17. The federal government has not undertaken a duty or made any promise to achieve legal peace for foreign insurance companies against state litigation or regulatory action, including the HVIRA. Resp. App. 47-48, 51-52 n.7. This view is confirmed by the agreements themselves, whose language is "hortatory rather than mandatory." *Trojan Techs.,* 916 F.2d at 906. See also *Wardair,* 477 U.S. at 10 (distinguishing between statements of "international *aspiration*" and "the *law* as it presently stands.") (emphasis in original).[14]

In light of these admissions and the plain language of the agreements, petitioners cannot reasonably assert that the agreements preempt the HVIRA. Petitioners nevertheless rely on several cases that find executive agreements to be preemptive, and suggest that the executive agreements here make "application of the foreign affairs power more compelling." AIA Brief at 28. But the agreements in those cases each involved special circumstances not present here, justifying only a limited preemptive force.

[14] Use of the judiciary to give preemptive status to an expressly nonpreemptive executive agreement permits the Executive Branch to nullify state regulatory power without accepting clear political responsibility. This Court has previously protected state power against federal incursion based in part on the recognition that public officials sometimes prefer blurred lines of political responsibility. *New York v. United States*, 505 U.S. 144, 182-183 (1992).

Those cases also reflect this Court's concern about not expanding presidential lawmaking.

In *Dames & Moore*, for example, an expressly preemptive executive agreement disposed of claims against a foreign government as part of the resolution of a foreign policy crisis. 453 U.S. at 663-665. This Court emphasized the historical practice of (and Congressional acquiescence in) presidential settlement of claims against foreign nations, and also found that, by an earlier statute, Congress had implicitly authorized the President to settle claims against foreign nations by executive agreement. *Id.* at 679-680. This Court also relied on other federal statutes that delegated broad authority to the President to act "in times of national emergency with respect to property of a foreign country" and gave the President broad discretion "when responding to hostile acts of foreign sovereigns." *Id.* at 677. The Court "re-emphasize[d] the narrowness of [its] decision," stating that "[w]e do not decide that the President possesses plenary power to settle claims, even as against foreign governmental entities." *Id.* at 688.[15]

2. Executive Branch Diplomacy Does Not Preempt State Regulation Authorized By Congress.

Petitioners' argument seems to be that, because the Executive Branch has been involved in some aspects of negotiating and settling some Holocaust-era insurance claims, any state law that implicates any of those claims is invalid. Petitioners cite absolutely no authority for this claim, and there is none. No state law has ever been

[15] The only other cases giving preemptive effect to an executive agreement also turned on unique circumstances not present here. See *United States v. Pink*, 315 U.S. 203 (1942); *United States v. Belmont*, 301 U.S. 324 (1937) (giving preemptive effect to agreement recognizing the government of the Soviet Union, emphasizing the President's power to recognize foreign governments under Article II, Section 3 of the Constitution).

declared invalid simply because it happened to regulate a matter that was also the subject of Executive Branch diplomacy efforts.[16] Foreign commerce, moreover, is an area specifically entrusted to Congress by the Constitution.

Petitioners' claims of presidential "field preemption" are also rejected by *Barclays*. The petitioners in *Barclays* heavily relied on the views of the Executive Branch in their unsuccessful bid to overturn the state law in that case. This Court rejected their argument, observing that "[t]he Constitution expressly grants Congress, not the President, the power to 'regulate Commerce with foreign nations,'" 512 U.S. at 329 (quoting Article I, Section 8). Thus, "[the President] 'is better able to decide than we are which state regulatory interests should currently be subordinated to our national interest in foreign commerce. Under the Constitution, however, neither he nor we were to make that decision, but only Congress.'" *Id.* (quoting *Itel Containers Int'l Corp. v. Huddleston*, 507 U.S. 60, 81 (1993) (Scalia, J., concurring in the judgment)). *Barclays* squarely held that "Executive Branch communications that express federal policy but lack the force of law cannot render unconstitutional California's otherwise valid, congressionally condoned" activity. *Id.* at 330.

II. THE HVIRA DOES NOT VIOLATE THE DORMANT COMMERCE CLAUSE

The Court of Appeals followed fifty years of precedent holding that the McCarran-Ferguson Act, 15 U.S.C. §§ 1011-1015, insulates state insurance regulations from

[16] Petitioners' argument is extraordinarily broad, claiming that Executive Branch activity with respect to *some* Holocaust-era claims precludes state regulation relating to *any* Holocaust-era claims, even ones not involved in the Executive Branch negotiations, such as those against Generali.

Significantly, the United States does not go this far, explaining to this Court that its foreign policy arguments apply only to companies "subject to the agreements" – which does not include all petitioners. United States Brief at 17.

all Commerce Clause restrictions, even if the regulations affect extraterritorial conduct. App. 40a-45a. But even if McCarran did not apply, the HVIRA does not violate the Commerce Clause.

A. Both The Plain Language Of McCarran-Ferguson And Fifty Years Of Precedent Establish That State Insurance Regulations Are Exempt From *All* Commerce Clause Restrictions.

The first section of the McCarran-Ferguson Act provides:

> Congress hereby declares that the continued regulation and taxation by the several States of the business of insurance is in the public interest, and that silence on the part of Congress shall not be construed to impose *any barrier* to the regulation or taxation of such business by the several States.

15 U.S.C. § 1011 (emphasis added). Consistent with this declaration of legislative purpose, Section 1012(a) provides: "The business of insurance, and every person engaged therein, shall be subject to the laws of the several States which relate to the regulation or taxation of such business."

The primary purpose of the Act was to shield from Commerce Clause attack regulations that might affect interstate commerce following the decision in *United States v. South-Eastern Underwriters Ass'n*, 322 U.S. 533 (1944). See *Group Life & Health Ins. Co. v. Royal Drug Co.*, 440 U.S. 205, 217-220 & n.18 (1979). Consistent with this purpose and the statute's plain language, this Court has held that the McCarran-Ferguson Act insulates state insurance regulations from *all* Commerce Clause attack, even where the regulation has extraterritorial effects. *Western & So. Life Ins. Co. v. State Bd. of Equalization*, 451 U.S. 648, 652-653, 669-671 (1981); *Benjamin*, 328 U.S. at 429, 431. In *Western & Southern*, for example, California imposed a retaliatory tax on foreign insurers to pressure other states to lower taxes on California insurers.

Although the statute was both discriminatory and extraterritorial, this Court upheld it against a Commerce Clause challenge.[17]

B. The Court Of Appeals' Decision Is Consistent With This Court's Decision In *Travelers*.

Relying primarily on *FTC v. Travelers Health Ass'n*, 362 U.S. 293 (1960), petitioners contend that a broad "extraterritorial" exception to the McCarran-Ferguson Act exists. Petitioners mischaracterize *Travelers*. *Travelers* did not involve a Commerce Clause challenge, and instead addressed a totally distinct part of the McCarran-Ferguson Act. App. at 41a-42a.

In addition to exempting state insurance regulations from all Commerce Clause attack, the Act also gives state insurance regulations a more limited exemption from federal statutory preemption. Section 1012(b) provides in part: "No act of Congress shall be construed to invalidate, impair, or supersede any law enacted by any State for the purpose of regulating the business of insurance . . . unless such Act specifically relates to the business of insurance." Section 1012(b) also provides that the federal antitrust statutes and the Federal Trade Commission Act do apply to the "business of insurance," but only "to the extent that such business is not regulated by state law."

Travelers involved only an interpretation of McCarran-Ferguson's narrow exemption from the Federal Trade Commission Act for the business of insurance. The issue was whether the FTC could regulate interstate insurance sales under Section 1012(b) of the Act. The FTC sought to enjoin deceptive advertising by a Nebraska company that sold insurance nationwide. To evade federal regulation,

---

[17] See also *Metro. Life Ins. Co. v. Ward*, 470 U.S. 869, 880 (1985); *Group Life & Health Ins. Co.*, 440 U.S. at 219 n.18; *State Bd. of Ins. v. Todd Shipyards Corp.*, 370 U.S. 451, 452-457 (1962). See generally *New York v. United States*, 505 U.S. at 171 (recognizing Congress' power to permit states to burden interstate commerce).

the insurer argued that the FTC lacked jurisdiction because a Nebraska statute already prohibited Nebraska insurance companies from engaging in deceptive trade practice "in any other state." *Travelers*, 362 U.S. at 296.

This Court disagreed, holding that the McCarran-Ferguson Act permitted the FTC to act. This Court reasoned that Congress did not intend to allow a single state's law to displace the FTC's ability to protect residents of other states. *Id.* at 297-298. Otherwise, the purpose of Section 1012(b) would be subverted: If one state had a fair trade statute that purported to regulate nationwide, an insurer located there would be free from the reach of the FTC Act in every other state. *Id.* at 301-302. To avoid this result, this Court held that the "state regulation" that could displace the FTC Act under Section 1012(b) meant "regulation by the state in which the deception is practiced and has its impact," *id.* at 298, or "where the business activities have their operative force." *Id.* at 301-302. However, this has nothing to do with Congress' direction that state insurance regulation be insulated "from *any* attack under the commerce clause." *Benjamin*, 328 U.S. at 431 (emphasis added).

Petitioners' argument that *Travelers*' "extraterritoriality exception" to Section 1012(b)'s preemption exemption should also apply to the state's Commerce Clause immunity under Section 1012(a) is based mainly on similarity in the language of the two provisions. AIA Brief at 41. But the argument is inconsistent with other language in the Act, namely, its Declaration of Policy in Section 1011, which provides that "silence on the part of Congress shall not be construed to impose any barrier to the regulation or taxation" of the business of insurance.

According to petitioners, the HVIRA's claimed extraterritoriality not only excepts it from the Act's protection against Commerce Clause attack but is also a reason that the HVIRA violates the Commerce Clause. Since, for Commerce Clause purposes, Congress could consent to state HVIRA-type disclosure requirements, petitioners' Commerce Clause claim is obviously

predicated on the absence of such express consent – that is, on Congressional silence. For petitioners' argument to prevail, Section 1011 must be read to permit an extraterritoriality exception that not only is not in the text, but also is belied by Section 1011's clear preclusion of Congressional silence as the basis of "any barrier" to state regulation. The *Travelers* Court's interpretation of Section 1012(b)'s express preemption exemption did not face this textual obstacle because it did not implicate Section 1011's Declaration of Policy regarding the Commerce Clause.

Petitioners attempt to buttress their argument by citing legislative history of the Act, relied on by the *Travelers* majority, showing that Congress did not intend to overturn three pre-McCarran decisions of this Court which held that the Due Process Clause limits extraterritorial state insurance taxation and regulation. AIA Brief at 42. However, the determination in *Travelers* that the Act's legislative history supported an extraterritoriality exception to Section 1012(b) obviously does not signify that the legislative history is also an adequate basis for defeating the plain language of Section 1011 and fifty years of precedent holding that the Act insulates state insurance regulation from *all* Commerce Clause restrictions. In fact, this Court has acknowledged the different purposes of the Act's broad Commerce Clause immunity and the limited statutory exemption of Section 1012(b):

> The McCarran-Ferguson Act operates to assure that the States are free to regulate insurance companies without fear of Commerce Clause attack. The question in the present case, however, is one under the quite different secondary purpose of the McCarran-Ferguson Act – to give insurance companies only a limited exemption from the antitrust laws.

Group Life & Health Ins., 440 U.S. at 219 n.18.

Interpreting Section 1011 to mean what it plainly says does not disregard the legislative history on which petitioners rely. Instead, it shows Congress' understanding that the Act did not purport to eliminate due process limits

on state legislative jurisdiction, a premise the Commissioner has never disputed.

C. The HVIRA Is Constitutional Even If It Is Subject To Commerce Clause Restrictions.

1. The HVIRA Does Not Regulate Extraterritorially.

Even if the McCarran-Ferguson Act does not shield the HVIRA from Commerce Clause attack, the statute is constitutional because it is not an extraterritorial law. The HVIRA is a California regulation of California insurance companies. App. 45a. It is not discriminatory and is not protectionist or anti-competitive in purpose or effect. It applies to all insurers doing business in California, foreign or domestic. It does not affect the manner in which any of the regulated companies or their affiliates do business outside California.

Its only effect outside the state is informational; that is, it requires the reporting of historical information about foreign insurance policies. It does not even require out-of-state insurers to gather and compile the information, since, as far as the statute is concerned, performance of those tasks might be assumed by the California companies whose licenses are at issue.

Petitioners' extraterritorial regulation argument relies upon three decisions of this Court: *Edgar v. MITE Corp.*, 457 U.S. 624 (1982); *Healy v. Beer Institute*, 491 U.S. 324 (1989); and *Brown-Forman Distillers Corp. v. N.Y. State Liquor Auth.*, 476 U.S. 573 (1986). In *Edgar*, 457 U.S. at 644-647, the Court held that an Illinois statute restricting business takeovers violated the Commerce Clause because the burden on interstate commerce exceeded its local benefits, a theory petitioners cannot seriously advance here. A plurality in *Edgar* also believed the statute was an extraterritorial regulation, but the plurality expressly approved this Court's holding in *Hall v. Geiger-Jones Co.*, 242 U.S. 539 (1917), that a state blue sky law requirement that companies report on out-of-state matters as a condition of state licensing does not violate the dormant Commerce

Clause, since "[s]uch regulations affect interstate commerce only incidentally." *Edgar*, 457 U.S. at 641 (quoting *Hall*, 242 U.S. at 557-558). The HVIRA's reporting requirement is also a condition of licensing, *i.e.*, of doing business within the state, and its out-of-state informational effect, identical to that approved in *Hall* and by the plurality in *Edgar*, is also an incidental effect.

The *Healy* and *Brown-Forman* decisions do not aid petitioners' argument either. These cases involved challenges to actions by Connecticut and New York, respectively, that required beer (*Healy*) and liquor (*Brown-Forman*) producers to affirm that prices charged in-state for their products were no higher than prices charged in other states. This Court found these regulations directly affected the prices the companies could charge in other states, and on this basis held the statutes unconstitutional under the dormant Commerce Clause, in part on an "extraterritorial regulation" theory. Thus, *Healy* and *Brown-Forman* do not condemn "extraterritorial regulation" in the abstract, but rather a particular kind of extraterritorial effect on pricing in interstate competitive markets that lies at the core of that which the dormant Commerce Clause seeks to prevent. No such issue is presented here.

The HVIRA has a significantly smaller effect on out-of-state conduct than a great many state regulations that have always been assumed to be consistent with the Commerce Clause, such as state automobile safety or emissions requirements that require out-of-state manufacturers to modify production in order to sell in the regulating state. Neither evidence nor common sense suggests that the HVIRA's reporting requirement will interfere with insurance pricing or any other aspect of the sale of insurance in foreign or interstate markets.

2. The Court Of Appeals' Decision Is Consistent With This Court's Decisions Construing The Foreign Commerce Clause.

Petitioners argue that the HVIRA violates the Foreign Commerce Clause because it purportedly "precludes the

federal government from speaking with 'one voice' in its commercial relations with foreign governments." AIA Brief at 33. As discussed above, the HVIRA is no more constitutionally suspect than the statute upheld in *Barclays*, which regulated private business, had been protested more vigorously by foreign governments, and had received less support from Congress than has the HVIRA.

III. THE HVIRA IS WITHIN CALIFORNIA'S LEGISLATIVE JURISDICTION

Both the District Court and the Court of Appeals held that California had legislative jurisdiction to enact the HVIRA. App. at 72a-75a; App. at 8a-20a. Petitioners' contention that the state lacks legislative jurisdiction (1) mischaracterizes the HVIRA; (2) improperly relies on what petitioners erroneously assert is the statute's "actual purpose"; (3) ignores the regulatory purposes reflected in the HVIRA and the state interests it serves; (4) is based on a plainly distinguishable Eleventh Circuit decision; and (5) would undermine fundamental and commonly used disclosure laws necessary for states to regulate multi-jurisdictional business associations.

Contrary to petitioners' assertions, the HVIRA regulates *only* insurance companies that do business in California. App. at 9a. It does this by requiring as a condition of their doing business that they report information concerning Holocaust-era policies written by them or their affiliates. It does *not* require insurers to pay any claims, does *not* alter the terms of any policies, and does *not* in any other way regulate the substance of out-of-state transactions. App. at 9a, 15a, 16a, 43a-45a.

A. The Court Of Appeals Correctly Held That California Has Legislative Jurisdiction To Require Licensees To Disclose Information Relevant To State Interests.

Legislative jurisdiction attacks on regulations of companies that do business in the regulating state are rare, since the minimum contacts requirement for legislative jurisdiction is obviously satisfied in such cases because the

regulated companies do business in the state, and the only remaining due process question is whether the regulation rationally serves a legitimate state interest. Nevertheless, petitioners argue that requiring in-state companies to report on out-of-state conduct is beyond the state's legislative jurisdiction because that *conduct* lacks minimum contacts with the state. But a state seeking information relevant to a licensing decision need not have minimum contacts with the *conduct* about which information is sought (as opposed to contacts with the regulated company). A state may well have legitimate regulatory interests in out-of-state conduct of out-of-state parents or affiliates of licensees.

Decisions applying the minimum contacts requirement have involved either the regulation of out-of-state entities, the application of substantive forum law or the raising of tax revenue based on foreign transactions. App. at 11a-20a. The Court of Appeals ruled that the HVIRA regulates neither foreign insurance companies nor the substance of foreign insurance transactions, "because it does nothing more than seek information from California-licensed insurers." App. at 20a. The court held that the Commissioner need not prove "that minimum contacts exist between California, [petitioners'] foreign affiliates, and the insurance policies issued by them," App. at 20a, noting that a contrary ruling would invalidate many existing reporting statutes that require multinational insurers and other financial institutions "to disclose foreign activities and transactions engaged in by them and their parent and affiliate companies." *Id.* Implicit in this ruling is that the business presence of the regulated insurers in California is a sufficient contact to justify legislative jurisdiction, and that all that remained were substantive due process questions controlled by the rational basis test.

The Court of Appeals thereafter upheld the HVIRA against substantive due process attack, holding that the rational basis test controlled and was satisfied because the statute is rationally related to both victim and consumer protection interests: (1) providing California Holocaust

survivors information on the basis of which they may decide whether to pursue claims in whatever fora they choose, including ICHEIC; (2) protecting California residents from untrustworthy insurance companies that "have a history of . . . refusing to inform potential beneficiaries about policy proceeds to which they may be entitled"; and (3) providing California residents information concerning the families of insurers from which they are contemplating buying insurance. App. 16a, 22a, 23a, 25a.[18]

B. Petitioners Mischaracterize The HVIRA's Purposes. But In Any Event, California's Legislative Jurisdiction Under Either Rational Basis Or Minimum Contacts Analysis Turns On Whether California Has Legitimate Interests That Justify The Statute.

Recognizing the overreaching character of their attack on any required reporting of foreign matters, petitioners appear to rely mainly on a second argument that the HVIRA is not "really" a consumer protection statute. According to this argument, it is irrelevant to California's legislative jurisdiction that all of the regulated companies do business in California and that California has legitimate consumer protection interests that are rationally served by the statute, because consumer protection is not really the "purpose" of the statute. Instead, petitioners say that the purpose of the HVIRA is to foster litigation in California courts that would compel payment on foreign transactions. AIA Brief at 9, 11, 19, 49.

The HVIRA does not require the reporting of information for the purpose of encouraging litigation in California courts or any other court. But even if petitioners' description of the statute's "actual purpose" were correct, due

[18] In California, insurers are fiduciaries that have broad obligations of good faith and fair dealing. *Egan v. Mutual of Omaha Ins. Co.*, 620 P.2d 141, 146 (Cal. 1979).

process analysis of economic regulations does not turn on actual purposes. Instead, either of two substantially similar methods of constitutional analysis control the constitutionality under the Due Process Clause of state regulation of companies that do business in the state.

First, doing business in the state is a sufficient contact for legislative jurisdiction in regulatory matters, without more, and the only remaining substantive due process question is whether the regulation satisfies the rational basis test. This is the analysis suggested by the seminal modern decision dealing with both equal protection and due process limits on state power to condition insurance company licenses, *Western & Southern Life Insurance Co. v. State Board of Equalization*. That case holds that such regulation passes constitutional muster under the Due Process Clause so long as it satisfies the rational basis test, even if there are substantial extraterritorial regulatory effects. 451 U.S. at 671.

Second, as suggested by legislative jurisdiction decisions, minimum contacts analysis requires that the state show that the company's business presence in the state, combined with the state's substantial Holocaust population, creates "state interests, such that the choice of its law is neither arbitrary nor fundamentally unfair." *Phillips Petroleum Co. v. Shutts*, 472 U.S. 797, 818 (1985) (quoting *Allstate Ins. Co. v. Hague*, 449 U.S. 302, 312-313 (1981)).

These two analyses are substantially similar because (1) both have their basis in the Due Process Clause; (2) both seek to assure fundamental fairness; and (3) toward this end, both turn on whether the regulating state has legitimate "interests" that justify the regulation. What is important under both analyses are justifying state interests, not motivating legislative purpose. The HVIRA is constitutional under either analysis. The statute serves both victim and consumer protection interests, and these interests are more than sufficient to satisfy both the rational basis and the minimum contacts tests.

1. The HVIRA Was Adopted For Both Victim And Consumer Protection Purposes.

While acknowledging that the HVIRA's "main purpose" was victim protection, the court below found that it was "likely" that the legislature also had consumer protection purposes that were at least a first step in addressing a serious problem perceived by the state. App. at 16a, 22a-25a, 44a, 53a. See *FCC v. Beach Communications, Inc.*, 508 U.S. 307, 316 (1993). This finding was based on common sense, and on statutory structure and language.

Petitioner's argument that the statute's sole purpose is to facilitate claims payment is based mainly on two California statutes that were enacted separately from and prior to the HVIRA: California Code of Civil Procedure Section 354.5 and Insurance Code Section 790.15. Both the District Court and the Court of Appeals rejected petitioners' attempts to conflate the HVIRA with these other statutes. App. at 6a, 7a, 10a, 16a, 17a, 38a, 43a, 86a, 87a.[19]

The HVIRA is a reporting statute that addresses the problem of insurer stonewalling; that is, the unconscionable, continuing, persistent and present refusal by insurance companies to disclose critical information upon inquiry by possible policyholders who themselves lack the information. The California legislature expressly found that in many instances, insurance company records are the only remaining proof of insurance. Cal. Ins. Code § 13801(c). The legislature also determined that companies doing business in the state "have a responsibility to ensure that any involvement they or their related companies may have had with insurance policies of Holocaust victims are disclosed to the state" and that the HVIRA was "necessary to protect the claims *and interests of California residents*." *Id.* § 13801(e), (f) (emphasis added).

[19] The constitutionality of the HVIRA should be assessed on its own merits and without regard to other statutes that are not before the Court. *Elec. Bond & Share Co. v. SEC*, 303 U.S. 419, 434-437 (1938).

These provisions are legislative findings that California insurers that refuse to provide essential information to policyholders and beneficiaries are not satisfying their responsibilities, and they carry the obvious implication that such insurers and their family of companies are not fit to do business in the state. Particlar deference to the legislature's judgment is warranted where, as here, the business being regulated is insurance. *Daniel v. Family Sec. Life Ins. Co.*, 336 U.S. 220, 224 n.4 (1949).

Petitioners' argument that the HVIRA's purpose was to foster victim but not consumer protection implicitly rests on the improbable assumption that these are unrelated or even inconsistent purposes, and therefore the legislature must have been pursuing only one or the other. The victim and consumer protection purposes at issue here are related and complementary: There is every reason in common sense and experience to believe that a legislature that thought insurer stonewalling improperly impeded victims' rights would also believe that continued stonewalling raised serious questions about the insurers' fitness to do business in the state.[20] In fact, it is difficult to imagine that a legislature that wanted to protect victims from such conduct would not also have wanted to protect consumers more generally from families of insurance companies that engage in stonewalling of policyholders and beneficiaries. See Cal. Ins. Code § 13801(f) (finding that the HVIRA is "necessary to protect the claims and interests of California residents"). The Court of Appeals

[20] The state has a statutory duty to consider the competency, character and integrity of the management of its insurance licensees and the fairness and honesty of their methods of doing business. Cal. Ins. Code § 717. Those inquiries include examination of the conduct of the licensee's parent and affiliates. E.g., Cal. Ins. Code §§ 1215.2(d)(5), 1215.4(g) and 1215.6.

therefore correctly found that both were "likely" purposes.[21]

This Court has recognized the difficulty of determining legislative purpose or motive for constitutional purposes, and for this and other reasons has generally refused to engage in such inquiries. In a case such as this where the disputed purposes are clearly and strongly related and complementary, the Court should either hold that the presumption of constitutionality accorded all legislation requires a finding that both were purposes or should refuse to engage in the inquiry.

2. Minimum Contacts Analysis Depends On Justifying Interests, Not Motivating Purposes.

The language and method of analysis in legislative jurisdiction decisions involving limits on both state choice of law and taxation make clear that what is important is state justifying interests, not motivating purposes. In *Shutts*, this Court explained that the point of the inquiry into "contacts" in the choice of law setting is to determine whether the contacts create "state interests, such that choice of its [forum state] law is neither arbitrary nor fundamentally unfair." 472 U.S. at 818 (quoting *Allstate Ins. Co. v. Hague*, 449 U.S. at 312-313). See also *Hoopeston Canning Co. v. Cullen*, 318 U.S. 313, 316-317 (1943). The minimum contacts test, in other words, tests for justification, not for motivating purposes. See, e.g., *Allstate*, 449 U.S. at 315, 319 (contacts with Minnesota created state interests justifying "stacking" of uninsured motor vehicle coverage even in absence of legislative purpose to protect those interests).

---

[21] Members of Congress have characterized disclosure laws like the HVIRA as "consumer protection legislation," intended to protect consumers against companies with bad business practices. See *2000 Hearing* at 160-162 (Statement of Congressman Sherman).

Minimum contacts analysis is also a test for justifying interests in taxation settings. In *ASARCO, Inc. v. Idaho State Tax Comm'n*, for example, this Court described the basic question as follows:

> "whether the taxing power exerted by the state bears fiscal relation to protection, opportunities and benefits given by the state. The simple but controlling question is whether the state has given anything for which it can ask return."

458 U.S. 307, 315 (1982) (quoting *Wisconsin v. J.C. Penney Co.*, 311 U.S. 435, 444 (1990)).

In *J.C. Penney*, the Court held the tax constitutional because the state had granted the taxpayer the privilege of doing business in the state. The key point was that this contact gave the state a legitimate interest in the tax, not that the state's purpose in enacting the tax was to exact compensation for granting the privilege. To the contrary, the Court described Wisconsin's legislative purpose simply as raising revenue in a manner consistent with the State's taxing system in order "to meet the increasing demands of the depression years." 311 U.S. at 442.

C. Making The Minimum Contacts Test Dependent On Purposes Rather Than Interests Would Be Inconsistent With The Principles That Underlie Substantive Due Process Jurisprudence And With The Concept Of Fundamental Fairness That Underlies The Minimum Contacts Test.

The substantive constitutionality of economic legislation under the Due Process Clause depends on an analysis (the rational basis test) based on justifying interests, not motive or purpose. *Daniel*, 336 U.S. at 222-224. Cf. *FCC v. Beach Communications*, 508 U.S. at 315; *Metro. Life Ins. Co. v. Ward*, 470 U.S. 869, 875 n.5 (1985). Under the rational basis test, a court must consider *all* conceivable state interests served by the legislation, regardless of whether they were expressed in the legislation or actually motivated the legislature. E.g., *Beach Communications*,

508 U.S. at 315. All of the reasons why this Court has evolved the rational basis test in this manner are equally applicable to the test for legislative jurisdiction. Moreover, injection into minimum contacts analysis of a "real purpose" issue is inconsistent with the concept of fundamental fairness that underlies the test.

1. The Reasons That Inquiries Into Actual Purpose Are Excluded From Substantive Due Process Law Are Equally Applicable In The Legislative Jurisdiction Context.

The watershed case for modern substantive due process law was *United States v. Carolene Products Co.*, where this Court announced that because of the deference courts owe legislative decisionmaking, substantive due process review of legislation "must be restricted to the issue whether any state of facts either known or which could reasonably be assumed affords support for it." 304 U.S. 144, 154 (1938). There is no apparent reason why the same deference is not appropriate in the subspecies of substantive due process law relating to legislative jurisdiction, and petitioners have mentioned none.

Substantive due process law's focus on interests rather than purpose is based not only on the principle of deference, but also on three problems that would result if purpose were determinative. Two of these problems were discussed in *United States v. O'Brien*, a leading decision holding that legislative purpose or motive is normally irrelevant to a statute's constitutionality. 391 U.S. 367, 382-385 (1968). There, this Court refused to invalidate, on the ground that Congress had a speech-repressive purpose, a statutory prohibition on draft card destruction, citing both the difficulty of accurately determining legislative purpose and the "repassage problem," *i.e.*, that the same statute "could be reenacted in its exact form if the same or another legislator made a 'wiser' speech about it." *Id.* at 384. The third problem, not present in *O'Brien*, is that if purpose were constitutionally determinative,

identical statutes in different states might meet different fates, depending on differences in legislative purpose.

All three of these problems are equally troublesome in the legislative jurisdiction context. Thus:

(1) Petitioners claim the HVIRA has no consumer protection purpose, despite statutory text suggesting otherwise and the fact that the victim and consumer protection purposes are so highly complementary as to suggest both were likely purposes;

(2) The Court of Appeals found that the HVIRA satisfies the rational basis test. App. at 22a-27a. The statute therefore could be constitutionally reenacted if the legislature made even clearer that it was also concerned about protecting consumers from families of insurers that engage in stonewalling; and

(3) The Eleventh Circuit held Florida's Holocaust statute unconstitutional because it found that the statute did not have a consumer protection purpose (conceding the outcome might well be different if it had such a purpose), whereas California's statute would be constitutional if this Court determined it had such a purpose.[22]

2. Purpose Analysis Is Inconsistent With The Concept Of Fundamental Fairness That Underlies The Minimum Contacts Test.

Invalidating the HVIRA on the basis of its purpose would also be inconsistent with the concept of fundamental fairness that underlies minimum contacts analysis. A key element of fairness is the insurers' *legitimate* expectations. *Shutts*, 472 U.S. at 822; *id.* at 837-838 (Stevens, J., concurring in part and dissenting in part). In legislative

---

[22] The Court of Appeals correctly held that *Gerling Global Reinsurance Corp. v. Gallagher*, 267 F.3d 1228 (11th Cir. 2001), is distinguishable from the present case on various factual grounds. App. 9a-11a. In any event, to the extent that the *Gallagher* court relied on what it believed was the "express purpose" of the Florida statute, that analysis was flawed.

jurisdiction contract law decisions, the expectation interest that this Court protects is the interest against surprise as to which state's substantive law will govern contractual rights. *Id.*

The HVIRA does not frustrate insurer expectations based on either (1) the provisions in the underlying insurance contracts, or (2) the substantive law that will govern contractual obligations. This is because there is no evidence that any of the insurance policies have provisions that preclude the reporting of information, and the HVIRA does not alter any contractual terms. Insurance companies, moreover, have no legitimate expectations that a jurisdiction will not change its regulatory laws relating to insurance consumer protection. To the contrary, since insurance is a highly regulated industry, "further regulation can reasonably be anticipated." *Calfarm Ins. Co. v. Deukmejian*, 771 P.2d 1247, 1262 (Cal. 1989). See also Cal. Ins. Code § 700(c). Presumably, if the HVIRA had been enacted with an expressly declared consumer protection purpose, it would be within California's legislative jurisdiction. If that law would not frustrate any legitimate expectations, then neither can the HVIRA.

D. Petitioners' Business Presence And The Residence Of Thousands Of Holocaust Victims In The State Are Sufficient To Satisfy The Minimum Contacts Test.

If the minimum contacts test controls, there are sufficient contacts with California to satisfy that test. *Allstate* expressly recognized that an insurance company's doing business in the state gave the state a regulatory interest in protecting state residents. 449 U.S. at 318. The fact that the regulated insurers here all do business in California is a contact sufficient to generate state consumer protection interests served by the HVIRA.

Petitioners' business presence is not the only relevant contact with the state. California is also home to thousands of elderly Holocaust survivors, many of whom live in poverty. Jnt. App. 29-30; Resp. App. 24. California has a legitimate interest in protecting these victims of insurer

stonewalling, to keep them off the welfare rolls and able to meet financial obligations. *Allstate*, 449 U.S. at 314, 315, 319; *Watson v. Employers Liab. Assurance Corp.*, 348 U.S. 66, 72 (1954); *Alaska Packers Ass'n v. Indus. Accident Comm'n*, 294 U.S. 532, 542 (1935).

Petitioners assert that "a party's post-transaction change of residence does not justify a forum state's exercise of legislative jurisdiction over a foreign transaction." AIA Brief at 46. Putting aside the fact that California is not exercising jurisdiction over foreign transactions, petitioners' argument is overstated and misplaced. This Court has held that a victim's post-transaction change of residence to a forum state is a relevant state interest that can help support legislative jurisdiction if it is clear, as it is here, that the residence change was "unrelated and prior to the litigation," *Shutts*, 472 U.S. at 820; *Allstate*, 449 U.S. at 318-319. There is simply no reason to disqualify victim-residence as a relevant contact in this case where (1) Holocaust survivors did not move to California after World War II for forum shopping purposes, and (2) the insurance policies contemplate worldwide coverage.[23]

Moreover, to the extent that the post-transaction change of residence rule serves a purpose in addition to preventing forum shopping, that purpose is to mandate that a victim's residence in a forum state carry little justificatory weight as against the defeat of expectations entailed by settling a contract dispute under an unexpected jurisdiction's substantive contract law. The HVIRA does not purport to change contract rights, and more importantly, does not defeat any *legitimate* expectations.

---

[23] In addition, a number of the insurance policies at issue here contemplated that the policyholder might change his or her domicile outside of Europe and did not restrict the location where benefits were payable. Jnt. App. 77, 82. See also *Kaplan v. Assicurazioni Generali*, 34 N.Y.S.2d 115 (1942). Indeed, European insurers were aware, even before World War II, that a number of their policyholders had emigrated to places outside Europe, including California. 1-ER 904-1009.

In sum, the combination of petitioners' business presence in California, generating consumer protection interests, and the residence of thousands of Holocaust victims in the state, generating victim protection interests, establishes contacts between the HVIRA's reporting requirement and the state that are more than sufficient to sustain California's legislative jurisdiction.

CONCLUSION

The judgment of the Court of Appeals should be affirmed.

Respectfully submitted,

FRANK KAPLAN
Counsel of Record
JESSE J. CONTRERAS
RYAN S. HEDGES
ALSCHULER GROSSMAN
STEIN & KAHAN LLP
1620 26th Street
Fourth Floor, North Tower
Santa Monica, CA 90404
(310) 907-1000

LARRY G. SIMON
Professor of Law
UNIVERSITY OF SOUTHERN
CALIFORNIA LAW SCHOOL
Los Angeles, CA 90089-0071
(213) 740-2542

ANDREW W. STROUD
MENNEMEIER, GLASSMAN
& STROUD LLP
980 9th Street, Suite 1700
Sacramento, CA 95814-2736
(916) 553-4000

MICHAEL D. RAMSEY
Professor of Law
UNIVERSITY OF SAN DIEGO
LAW SCHOOL
5998 Alcala Park
San Diego, CA 92110-2492
(619) 260-4600

LESLIE TICK
CALIFORNIA DEPARTMENT
OF INSURANCE
45 Fremont Street, 23rd Floor
San Francisco, CA 94104
(415) 538-4190

Counsel for Respondent John Garamendi, in his capacity as Commissioner of Insurance for the State of California